

Tesote — Financial Operating Plan & Financing Recommendation

Date: June 2026 **Purpose:** Define the non-negotiable financial rules Tesote operates under, model the next 6 months honestly given how money actually moves through the business, and recommend a financing structure that lets the team run on a tracked plan instead of month-to-month anxiety.

This document is self-contained. It assumes no prior context.

Executive summary — the recommendation

Do both, deliberately sized: secure a credit line now, and raise a modest equity round now. They solve two different problems, and together they convert a fragile plan into one we can simply track.

- 1. Credit line — ~\$250k, secured on the US entity.** This is the workhorse. It funds (a) the permanent working-capital float created by collecting revenue in bolívars but paying most costs in USD, and (b) the bridge to breakeven. It is non-dilutive and you only pay for what you draw. **We do not have one today — securing it is the single most important action.**
- 2. Equity (SAFE) — ~\$250–400k, now.** Not to fund routine burn (the line does that), but to **rebuild an operating buffer above the untouchable reserve** and **insure the downside** (slower growth, a delayed breakeven, a lumpy collection month, or the line coming in smaller than hoped). Today the company sits with essentially **zero buffer above its own reserve floor** — that is the entire source of financial stress, and the equity is what removes it.

Why both, and not one:

- Line alone* leaves no margin — the company would run at or near its reserve floor until breakeven, so any single bad month forces a choice between maxing the line and breaking the reserve. That is the stressful path.
- Equity alone* would mean funding a permanent, revolving working-capital need with permanent dilutive capital — the most expensive way to solve the cheapest problem. A revolver is the right tool for a revolving need.

The end state: a \$400k reserve that is never touched, a \$250k line that absorbs the currency float and the bridge, and an equity buffer that absorbs surprises. Under the base-case growth path this is comfortable, and under the downside it still holds.

1. The business in one paragraph (why currency is the whole story)

Tesote operates across a US entity (Delaware C-corp) and a Venezuelan entity. **Roughly \$40k/month of recurring revenue is collected in USD; the remainder — and effectively all of the growth — is collected in bolívars (Bs).** Meanwhile, **the large majority of costs (~\$120k/month: US payroll, contractors, core vendors, software) must be paid in USD**, on a fixed calendar. Bolívar revenue is not spendable on USD obligations until it is converted, and that conversion takes time. **So the binding constraint on the business is not total net worth — it is USD liquidity.** Every rule below follows from that fact.

Current monthly run-rate

	USD	Bs (USD-equiv)	Total

Recurring revenue (MRR)	\$40k	\$55k	\$95k
Implementation fees	—	\$7k	\$7k
Revenue	\$40k	\$62k	\$102k
Expenses	\$120k	\$12k	\$132k
Net	−\$80k	+\$50k	−\$30k

The −\$80k USD line and +\$50k Bs line are the heart of it: there is a structural **\$80k/month USD shortfall** that must be filled by converting the bolívar surplus into dollars. (*Bolívar amounts are shown as USD-equivalent; a working exchange rate is intentionally not fixed in this document.*)

2. The non-negotiables (the rules we operate under)

These are constraints, not targets — lines we don't cross, and crossing one is itself a trigger to act.

a) Untouchable reserve — \$400k, in USD

- Twelve months of survival at a capped burn. Held **in USD** (the binding constraint) in a **separate, walled-off account**.
- Touched only on a declared crisis (revenue collapse plus inability to raise) — never for a routine bad month.
- *Note on sizing:* a strict reading (a \$40k/month cap × 12) would put this at \$480k. We set it at **\$400k** because a committed credit line restores the difference — an undrawn line is contingency capital, which means we don't need to hold as much idle cash. **The \$400k figure is only sound if the line is actually committed.** Until then, treat \$480k as the real floor.

b) Burn cap — \$40k/month net

- Measured on a **trailing-three-month average**, not single months (individual months are noisy — payroll cycles, tax timing, one-offs).
- Net burn today is ~\$30k/month, so \$40k is a ceiling with headroom, not the run-rate.
- **Breaching the cap two months running triggers forced action** (renegotiate, cut, or fund). The largest discretionary levers — vendor renegotiation, contractor review, software consolidation — represent meaningful monthly flex and are what make the cap defensible as a stress number.

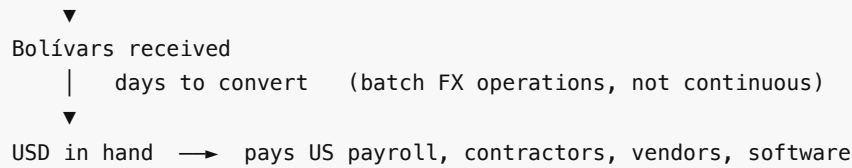
c) Operating buffer — above the reserve

- A working buffer that sits **on top of** the reserve and absorbs normal timing swings, so the reserve is never the de-facto operating account.
- With a committed line as the deeper contingency, this buffer can be modest — enough to cover two to three months of net burn plus one lumpy collection month. **Target: roughly \$150–250k above the reserve.**

3. How money actually moves — the currency mismatch

This is the mechanism that makes the plan non-obvious. Even at accounting breakeven, a cash gap remains, because of the cycle below:

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Invoice issued (mostly Bs)
|   days to collect   (slow-paying market)
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The full clock — invoice to spendable USD — runs an estimated 45–60 days. During that window, USD obligations keep hitting on schedule while the matching revenue is still in transit. The amount of USD perpetually "in flight" is a **working-capital float** the business must finance continuously.

Two distinct gaps result, and they need different instruments:

Gap	Nature	Instrument
Conversion float	Permanent, revolving — survives breakeven	Credit line (revolver)
Burn bridge	Temporary — closes at breakeven	Credit line + equity buffer

Critically: because the USD revenue is flat at \$40k and USD costs are flat at \$120k, **the monthly USD shortfall is pinned at \$80k**, and *all* growth arriving in bolívars means the conversion volume only rises until it hits that \$80k ceiling. **The float is therefore a permanent ~\$120–160k draw** (the \$80k shortfall × the 1.5–2.0 month cycle). That is the standing cost of a bolívar-led growth engine.

4. The 6-month projection (June–December 2026)

Assumptions: total MRR grows 5%/month with all growth landing in bolívars (USD MRR held flat at \$40k); implementation fees flat at \$7k/month in Bs; expenses flat at \$120k USD + \$12k Bs; conversion cycle 45–60 days.

Month	Revenue	USD shortfall (gap – converted)	Net	Cumulative
Jun (today)	\$102k	\$30k	–\$30k	–\$30k
Jul	\$107k	\$25k	–\$25k	–\$55k
Aug	\$112k	\$20k	–\$20k	–\$76k
Sep	\$117k	\$15k	–\$15k	–\$91k
Oct	\$122k	\$10k	–\$10k	–\$100k
Nov	\$128k	\$4k	–\$4k	–\$104k
Dec	\$134k	\$0	+\$2k	–\$102k

- **Breakeven ≈ December 2026** (~6 months out).
- **Total cash burned to get there ≈ \$104k**, bottoming end of November.

When the credit line gets tapped

Starting from an estimated ~\$450k in USD cash — which, against a \$400k reserve, leaves only ~\$50k of free operating cash today:

Month	Free cash above reserve	Line drawn (bridge)
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Jun	\$50k → \$20k	\$0
Jul	\$20k → \$0	\$5k ← first draw
Aug	\$0	\$26k
Sep	\$0	\$41k
Oct	\$0	\$50k
Nov	\$0	\$54k ← peak
Dec	begins repaying	\$52k

- **First draw: July 2026. Peak bridge draw ~\$54k in November**, self-repaying once cash-positive.
- The first-draw date is sensitive to the actual current cash balance — every extra \$25k of starting buffer delays it ~1 month.

Total facility required

The bridge draw and the permanent conversion float stack:

	45-day cycle	60-day cycle
Peak bridge draw	~\$54k	~\$54k
Conversion float (permanent)	~\$120k	~\$160k
Peak total facility use	~\$170k	~\$212k

A \$250k line covers the peak under both cycle lengths, with the reserve untouched.

Caveats that argue for the top of the range

- **Lumpy collections.** Many customers pay quarterly or semiannually. Normalizing to monthly hides the troughs — in a dry month, USD bills still hit but bolívar inflow is thin, lengthening the effective cycle and pushing the float toward the 60-day figure. **Size the line to the 60-day case (\$250k), not the average.**
- **Slower growth or delayed breakeven** extends the bridge and keeps the line drawn longer — this is precisely what the equity buffer insures.

5. The financing decision — pros and cons

Credit line (revolver, ~\$250k, US entity)

Pros

- Non-dilutive — preserves ownership.
- Pay only for what's drawn.
- The *correct* instrument for a permanent, revolving working-capital float — matches a recurring need with a revolving facility.
- Also absorbs the temporary bridge to breakeven.

Cons

- Not yet in place — must be secured, with the US entity as borrower; may carry covenants, a rate, or a guarantee.
- Drawn amounts must be serviced; if breakeven slips badly, a maxed line while still burning is dangerous (this is where equity is the backstop).
- Sizing risk — if collection lumpiness runs the float past expectations, \$250k could tighten.

Equity (SAFE, ~\$250–400k, now)

Pros

- **Removes the existential stress directly** — it rebuilds a real buffer above the reserve, which the company does not have today.
- **Insurance** against the downside scenarios (slower growth, delayed breakeven, a bad lumpy month, a smaller-than-hoped line).
- **Raising from strength** — a clean story with a credible ~6-month breakeven path prices better than a raise done under pressure later.
- Permanent capital, no repayment schedule.
- Optional upside: a portion can fund growth that increases USD-denominated revenue, which structurally shrinks the \$80k gap.

Cons

- **Dilution** — and if growth holds and the line proves sufficient, some of it may not have been strictly necessary.
- **Timing of valuation** — proving breakeven first could make later capital cheaper; raising now prices off today's metrics.
- Founder time and focus.
- Risk of raising more than is deployed ("dead equity").

Why the combination is the financially smart answer

- The line handles the **predictable, revolving** piece cheaply and without dilution.
- The equity handles the **buffer and the downside** — the part that, if unfunded, forces stressful decisions.
- Splitting the job this way means **the reserve is never touched, the line is never maxed under duress, and a bad month is absorbed rather than a crisis**. That is the definition of a plan you track rather than worry about.

6. Recommended structure and sequence

1. **Now — secure the ~\$250k credit line** on the US entity. Until it is committed, the reserve floor is effectively \$480k (not \$400k), because the company would otherwise dip into it by July.
2. **Now — raise a ~\$250–400k SAFE**, framed precisely: *"We run on a \$400k locked reserve and a 2–3 month operating buffer; this round provisions the buffer and insures the path to breakeven, so the reserve is never what stands between us and payroll."* Clean, disciplined, fundable.
3. **Target end-state liquidity**: ~\$400k reserve (locked) + ~\$150–250k operating buffer + a \$250k line available. Roughly \$800–900k of total liquidity, of which only \$400k is untouchable — comfortable under the base case and resilient under the downside.

The two structural levers to pursue in parallel (they shrink everything)

Both reduce the permanent float, the financing need, and the FX exposure at once:

1. **Grow USD-denominated revenue.** The \$80k monthly shortfall is pinned only because USD revenue is flat. Pricing more customers in USD lifts the ceiling down.
2. **Smooth payment cadence toward monthly.** Migrating quarterly/semiannual payers to monthly billing flattens the collection troughs, shortening the effective conversion cycle and shrinking the float.
3. (Secondary) **Shift cost base toward bolívares** where sensible — bolívar-paid local hires reduce the \$120k USD obligation from the cost side.

7. The tracking dashboard (so this runs without stress)

Review monthly. The plan is healthy as long as these stay in range; the triggers tell you exactly when to act.

Metric	Why it matters	Trigger to act
USD cash position	The binding constraint	Approaches reserve + 1 month buffer → draw the line
Trailing-3-month net burn	The real burn	Breaches \$40k cap for 2 months → cut or fund
% of revenue in USD	Shrinks the structural gap	Falling → push USD-priced sales
Conversion cycle (days)	Drives the float size	Lengthening → smooth cadence / convert more often
Credit line drawn	Capacity remaining	Exceeds 60% → open or accelerate the equity round
Breakeven tracking	Plan vs. reality	Slips past December → activate downside (equity) plan

The single most important number to drive down over time is the **\$80k monthly USD gap** — via more USD revenue and a lower USD cost base. Everything else (line size, float, FX exposure) shrinks with it.

8. Open items to confirm (turns estimates into facts)

- **Current USD cash balance** — sets the exact first-draw date (using a ~\$450k estimate).
- **Payment-cadence mix** (share of MRR billed monthly vs. quarterly vs. semiannual) — sets how far toward the 60-day float the business really runs.
- **Days-to-collect and days-to-convert** — the actual conversion cycle length.
- **Current % of revenue in USD** — confirmed at ~40% of MRR; track monthly.
- **Credit line terms** — committed amount, rate, covenants, borrowing entity.

Supporting detail

The models behind each section live in companion documents:

- Reserve / cap / operating-cash policy and the currency-deficit framing
- Reserve + line + equity scenario stress-test across growth speeds
- USD-liquidity float sizing (the formula behind the conversion float)
- Currency cash calendar and matching model (revenue & expenses by currency)

- The 6-month numerical projection (the source of \$4)